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County: los-angeles

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Department: G

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Case Number: 25PSCV02787 Hearing Date: June 24, 2026 Dept: G

Plaintiff/Cross-Defendant

Express Trade Capital, Inc.'s Demurrer to Defendants/Cross-Complainants Haiyong

Geng and Yongfei Enterprise Group Co.'s Amended Cross-Complaint

Respondent:

Defendants/Cross-Complainants Haiyong Geng and Youngfei Enterprise Group Co.

TENTATIVE

RULING

Plaintiff/Cross-Defendant

Express Trade Capital, Inc.'s Demurrer to Defendants/Cross-Complainants Haiyong

Geng and Yongfei Enterprise Group Co.'s Amended Cross-Complaint is CONTINUED.

BACKGROUND

This is

an action for fraud. Plaintiff Express

Trade Capital, Inc. (Express) is a lender, and defendant Wei Lin is allegedly

in the business of exporting luxury vehicles from the United States to

China. On June 9, 2021, Express allegedly

offered defendant MT Auto Depo Inc. (MT Auto) a revolving credit facility

whereby Express would advance funds to MT Auto against vehicles as

collateral. On June 14, 2021, Lin allegedly

entered into a guaranty agreement, making him personally liable for MT Auto's

obligations to Express, and a security agreement, granting Express a security

interest in MT Auto's assets. In June 2021,

Lin allegedly represented that he would start doing business through defendant

Elite Auto Choice, Inc. (Elite), and Elite assumed MT Auto's obligations to

Express. On July 7, 2021, Lin allegedly

entered into a security agreement, granting Express a security interest in

Elite's assets, and on July 8, 2021, Lin allegedly entered into a guaranty

agreement, making him personally liable for Elite's obligations to Express.

Between

2021 and 2023, Lin would make requests for funding to Express with proof of

payment for the vehicles. The purchased

vehicles would be stored at Express-approved warehouses, including those of

defendant USF USA Logistics, Ltd. (USFL) and its subsidiary, defendant OBW

Global Inc. (OBW), which is allegedly managed by defendants Bowen Yang (Yang)

and Xin Shen (Shen).

In

late 2023 and early 2024, Lin and defendant Haiyong Geng (Geng) allegedly

conspired to defraud Express into making a loan for vehicles Lin did not own. Lin and Geng allegedly used Express's funds to

finance or lease the vehicles through Geng's business, defendant Yongfei

Enterprise Group Co. (Yongfei). In

August 2024, Lin allegedly stopped responding to Express, and the loans remain

unpaid.

On

February 17, 2025, USFL allegedly sent Express invoices for vehicle storage. When Express tried to examine the vehicles, it

discovered that the location had closed and that the vehicles had been moved.

On

July 31, 2025, Express filed the Complaint, alleging causes of action for (1)

breach of contract (against Lin and Elite), (2) breach of the implied covenant

of good faith and fair dealing, (3) breach of contract (against USFL), (4) open

book account, (5) account stated, (6) fraud, (7) damages under Penal Code

section 496, subdivision (c), and (8) conversion.

On

December 8, 2025, Geng and Yongfei (collectively, Cross-Complainants) filed the

Cross-Complaint. On March 17, 2026,

Cross-Complainants filed the operative Amended Cross-Complaint, alleging causes of action for (1) equitable indemnity, (2) breach of contract, (3) intentional misrepresentation, (4) negligent misrepresentation, (5) breach of the covenant of good faith and fair dealing, (6) conversion, (7) [. . .] (8) declaratory relief (against Express, Lin, MT Auto, Elite, USFL, Yang, Shen, and OBW), (9) declaratory relief (against Lin, Elite, USFL, Yang, Shen, and OBW), (10) injunctive relief, and (11) quantum meruit/unjust enrichment.

(The court previously sustained a demurrer without leave to amend as to the seventh cause of action.)

On

April 16, 2026, Express filed this demurrer to the Amended

Cross-Complaint. On May 18, 2026,

Cross-Complainants filed the opposition, and on May 21, 2026, Express filed the

reply. On June 1, 2026, the court

continued the hearing on the demurrer to allow the parties to properly meet and

confer.

This

case is set for a case management conference, an order to show cause re:

failure to file proof of service as to remaining defendants and

cross-defendants, an order to show cause re: default judgment setting as to

served non-appearing defendants and cross-defendants, and a hearing on this

demurrer on June 1, 2026.

REQUEST

FOR JUDICIAL NOTICE

Express

requests that the court take judicial notice of the Cross-Complaint and Amended

Cross-Complaint. The court may take

judicial notice of the records of any California court, including its own. (Evid. Code, § 452 subd. (d)(1).) Thus, the court takes judicial notice of the Cross-Complaint

and Amended Cross-Complaint.

ANALYSIS

Express

demurs to the sixth and eighth causes of action in the Amended Cross-Complaint. (Express also demurs to the tenth cause of

action. The court previously sustained

Express's demurrer as to the tenth cause of action in the original

Cross-Complaint. Cross-Complainants do

not assert the new tenth cause of action against Express in the Amended

Cross-Complaint, so Express does not have standing to demurrer to the tenth

cause of action.)

For

the following reasons, the court CONTINUES the demurrer.

Legal

Standard

Pursuant

to Code of Civil Procedure section 430.41, prior to filing a demurrer, “the

demurring party shall meet and confer in person or by telephone with the party

who filed the pleading that is subject to demurrer for the purpose of

determining whether an agreement can be reached that would resolve the

objections to be raised in the demurrer.”

(Code Civ. Proc., § 430.41, subd. (a).)

It further provides that “the demurring party shall identify all of the

specific causes of action that it believes are subject to demurrer and identify

with legal support the basis of the deficiencies.” (Code Civ. Proc., § 430.41, subd. (a)(1).)

While

Code of Civil Procedure section 430.41, subdivision (a)(4) makes clear failing

to meet and confer is not grounds to overrule a demurrer, courts “are not

required to ignore defects in the meet and confer process” and if the court

determines “no meet and confer has taken place, or concludes further

conferences between counsel would likely be productive, it retains discretion

to order counsel to meaningfully discuss the pleadings with an eye toward

reducing the number of issues or eliminating the need for a demurrer, and to continue the hearing date to facilitate that effort." (Dumas v. Los Angeles County Bd. of Supervisors (2020) 45 Cal.App.5th 348, 355 & fn. 3.)

Discussion

The

court previously continued the hearing on the demurrer because counsel failed to meet and confer in person, by video conference, or by telephone as required by Code of Civil Procedure section 430.41.

(See 6/1/2026 Order Re: Court's Final Ruling, p. 3.) Counsel for Express provided a supplemental declaration that states that they are "hopeful that the demurrer hearing currently scheduled for June 24, 2026 will fall off calendar," which indicates that further discussion between counsel may resolve the issues raised in the demurrer. (6/10/2026 Szkopek Decl., ¶ 4.)

Therefore,

the court CONTINUES the demurrer and ORDERS Express's counsel to further MEET AND CONFER with Cross-Complainants' counsel by telephone, video conference, or in person and to FILE a SUPPLEMENTAL DECLARATION describing such meet and confer efforts, including whether the attempts were made by telephone, video conference, or in person, at least nine (9) court days

before the next scheduled hearing on the demurrer.

CONCLUSION

For

these reasons, the demurrer is CONTINUED to a date to be determined at

the hearing in Department G (Pomona).

Plaintiff

Express Trade Capital, Inc. is also ORDERED to further MEET AND

CONFER with counsel for defendants/cross-complainants Haiyong Geng and

Youngfei Enterprise Group Co. regarding the present demurrer and to FILE

a SUPPLEMENTAL DECLARATION describing such meet and confer efforts,

including whether the attempts were made by telephone, video conference, or in

person, at least nine (9) court days before the next scheduled hearing on the

demurrer.